Franchises

The franchise is a business model in which an independent entity—the franchisee—is entitled to set up a branch of an established brand. There are advantages for both parties.

How it works

Rather than developing an original business idea, the franchisee pays for the right to represent an existing, successful brand in a particular location. The size of a franchise can vary from a single unit—one outlet only—to an area development in which the franchisee takes on the option to represent the brand through several branches in a city or region. The franchisor can develop the business with modest capital outlay while the franchisee takes on a proven business model and brand name, so everyone reaps the benefits.

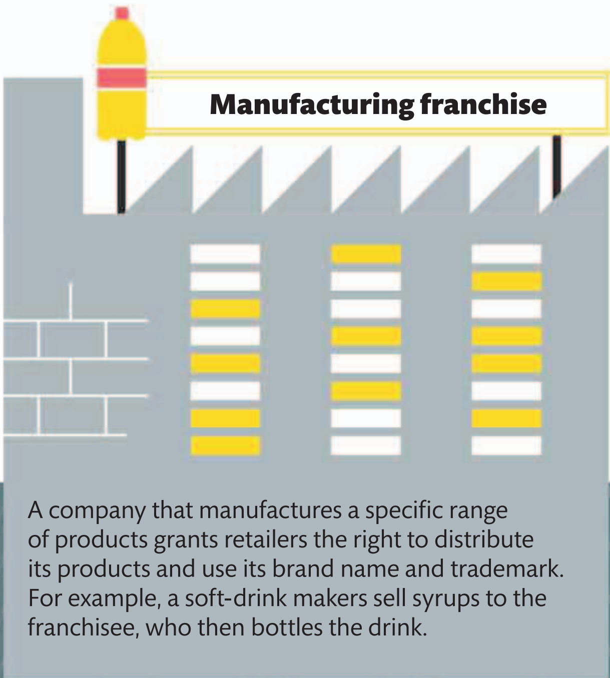
> "I put the hamburger on the assembly line."
>
> Ray Kroc, founder of McDonald's

NEED TO KNOW

- **Franchise disclosure documents (FDD)** Pre-agreement information
- **Microfranchising** Support and training for small-scale businesses in the developing world
- **International Franchise Association (IFA)** The oldest and largest franchise organization

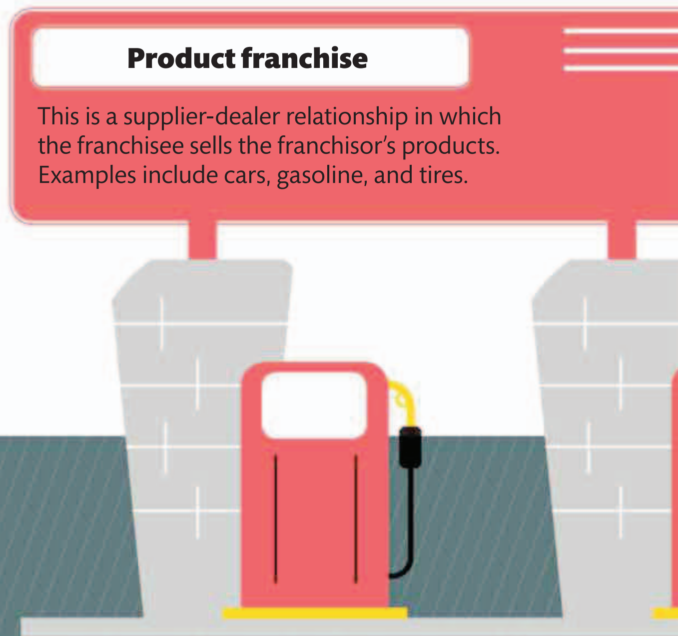
Three types of franchise

The franchisor's level of control varies from managing the contracts for the entire supply chain to input on every detail down to the last French fry. In a product franchise, the franchisor lends its trademark and brand but not an entire business system.



Manufacturing franchise

A company that manufactures a specific range of products grants retailers the right to distribute its products and use its brand name and trademark. For example, a soft-drink makers sell syrups to the franchisee, who then bottles the drink.



Product franchise

This is a supplier-dealer relationship in which the franchisee sells the franchisor's products. Examples include cars, gasoline, and tires.